

Investment Credit Memorandum

Cedar Ridge CLO 2024-2 | Cedarline Furniture | 4 March 2024

1. Recommendation

Credit committee is asked to approve a \$7,100,000 allocation of the Cedarline Furniture first-lien term loan into the Cedar Ridge CLO 2024-2 warehouse, and to roll that position into the CLO at closing. The borrower is Cedarline Furniture, headquartered in Grand Rapids. The financial sponsor is Pioneer Packaging Partners. Analyst: Nina Okeke. Committee chair: Helen Park. Portfolio manager: James Whitfield, Atlas Loan Management LLC.

Recommendation: Approve at a maximum par of \$7,100,000 (1.62% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Cedar Ridge CLO 2024-2 indenture. Moody's corporate family rating is B1. S&P issuer credit rating is B+. The loan is US dollar denominated and is eligible collateral under the term sheet dated 12 March 2024.

2. Borrower and sponsor

Cedarline Furniture operates in Consumer. The company is owned by Pioneer Packaging Partners. Neither the sponsor nor the borrower is affiliated with Atlas Loan Management LLC.

Related book names in Cedar Ridge CLO 2024-2 include Ridgeway Pharma LLC, Redwood Packaging LLC. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Cedarline Furniture first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Lakeshore Funding is the warehouse lender to Cedar Ridge CLO 2024-2.

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4. Credit highlights and risks

Highlights: sponsor support from Pioneer Packaging Partners, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicity in Consumer and add-on acquisition risk. Nina Okeke confirmed that Moody's industry classification for Cedarline Furniture is 'Consumer'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B1. It uses 1.62 of the 2.00 percentage-point largest-obligor covenant. James Whitfield confirmed the trade for Cedar Ridge CLO 2024-2.

If Cedarline Furniture is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Cedar Ridge CLO 2024-2 indenture. Wilmington Trust, N.A. would reflect that classification on the next monthly trustee report. Atlas Loan Management LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Atlas Loan Management LLC approved the \$7,100,000 purchase for the Cedar Ridge CLO 2024-2 warehouse on 4 March 2024. Voting members: Helen Park (chair), James Whitfield, and Nina Okeke. The trade will settle into the Lakeshore Funding warehouse and be conveyed to Cedar Ridge CLO 2024-2, Ltd. on the closing date of 28 March 2024.